

Digital Marketing Essentials

Part 3: Market Research

Learning Objectives

At the end of this session, you will be able to

- Understand why online market research is crucial to any marketing endeavor
- Understand the most important concepts you need to know in order to start conducting research
- User several methods for conducting online research, including surveys, online focus groups and online monitoring
- Discuss what problems and pitfalls to avoid when researching online

The Importance of Market Research

- Why do we conduct market research?
 - To understand current trends
 - To understand customer needs
 - To get to know popular opinions
 - To understand our competitors

Market research involves systematically gathering, recording and analyzing data about customers, competitors and the market, and turning this data into insight that can drive marketing strategies and campaigns.



Online Market Research

- The process of using digital tools, data and connections to obtain valuable insights about a brand's target audience (learning about your audience by engaging and observing them online)



Key concepts in market research

Four Key Concepts

- Research methodology
- Qualitative and quantitative data
- Primary and secondary research
- Sampling

Research methodology

- A research methodology is the process you should follow in order to conduct accurate and valuable research.
- Research should involve certain steps:
 1. Establish the goals of the project (define your research question)
 2. Determine your sample
 3. Choose a data collection method
 4. Collect data
 5. Analyze the results
 6. Formulate conclusions and actionable insights (for example, producing reports)

Primary and Secondary Research

- Primary research based on primary data
- Secondary research based on secondary data

	Primary Research	Secondary Research
Data	New data is gathered for particular product or hypothesis. (information does not exist already or is not accessible)	Uses existing, published data as a source of information. (may not be sufficient to solve the problem at hand, since data are gathered for general purpose)
Cost	High	Comparatively low
Data collection	Survey, focus groups, research panels, research communities	Sales reports, web analytics, Facebook insights, customers communication records, search results (from search engines)

Primary and Secondary Research

The Internet and secondary research

- Research based on secondary data should precede primary data research. It should be used in establishing the context and parameters for primary research:
 - The data can provide enough information to solve the problem at hand, thereby negating the need for further research.
 - Secondary data can provide sources for hypotheses that can be explored through primary research.
 - Sifting through secondary data is a necessary precursor for primary research, as it can provide information relevant to sample sizes and audience, for example.
 - The data can be used as a reference base to measure the accuracy of primary research.

Primary and Secondary Research

The Internet and primary research

- Primary research involves gathering data for a specific research task.
- Primary research can be either qualitative or quantitative.
- Primary research can be used to explore a market and can help to develop the hypotheses or research questions that must be answered by further research.
- Generally, **qualitative data** is gathered at this stage. For example, online research communities can be used to identify consumer needs that are not being met and to brainstorm possible solutions.
- Further **quantitative research** can investigate what proportion of consumers share these problems and which potential solutions best meet those needs.

Activity 2

During the management meeting of ProTrainHub, an online training provider, **the director wants to know what kind of training courses college students want to attend during their summer holidays**. One of the manager suggested that they should conduct market research using survey questionnaires.

- Question: Is it primary or secondary survey?

The marketing manager pointed out that they can look into trend data of registrations on their website and filter out by age, so that they will get some *idea* about what the college students want to study.

- Question: Is it primary or secondary survey? And will it answer the director's question?

Quantitative and qualitative data

	Quantitative	Qualitative
Data gathered	Numbers, figures, statistics, objective data	Opinions, feelings, motivations, subjective data
Question answered	What?	Why?
Group size (Sample size)	Large	Small
Data source	Surveys, web analytics data	Focus groups, social media
Purpose	Tests known issue or hypotheses. Seeks consensus, the norm Generalizes data	Generate ideas and concepts – lead to issues or hypotheses to be tested. Seeks complexity Puts data in context
Advantages	Statistically reliable results to determine if one option is better than the alternatives.	Looks at the context of issues and aims to understand perspectives.
Challenges	Issues can be measured only if they are known prior to starting. Sample size must be sufficient for predicting the population	Shouldn't be used to evaluate pre-existing ideas. Results are not predictors of the population.

Quantitative and qualitative data

- Both quantitative and qualitative research can be conducted online.
- Web analytics packages are a prime source of data.
- Using data such as **search terms**, **referral URLs** and **internal search data** can lead to **qualitative information** about the consumers visiting a website.
- However, when data is measurable and specific, such as **impressions** and **click through rates**, it leads to **quantitative** research.

Sampling

- **Qualitative** research is usually conducted with a **small number** of respondents in order to explore and generate ideas and concepts.
- **Quantitative** research is conducted with far **larger numbers**, enough to be able to predict how the **total** population would respond.
- There are several sample size calculators available on the web.

Sampling

For example, if you have 4 000 registered users of your website; you don't need to survey all of them in order to understand how the entire population behaves. You need to survey only 351 users to get a sample size that gives you a 95% confidence level with a $\pm 5\%$ confidence interval. This means that you can be 95% sure your results are accurate within $\pm 5\%$.

Determine Sample Size

Confidence Level: ☒ 95% ☐ 99%

Confidence Interval:

Population:

Sample size needed:

<http://www.surveysystem.com/sscalc.htm>

Online research methodologies

Which methodology should you choose?

- That all depends on a variety of factors, from your research question and purpose to your budget and time.
 - **Surveys:** Ideal for collecting large amounts of quantitative data (and some qualitative data, too) – they are quick and easy to set up, and can run automatically.
 - **Online focus groups:** Ideal for engaging consumers and collecting qualitative data such as opinions, ideas and feelings about the brand – they require a larger time investment and a willing group of participants.
 - **Online monitoring:** Ideal for collecting qualitative data on brand sentiment, and can also provide some quantitative data around volume of interest in the brand – these data can be collected passively, and there are several tools that can automate this.

Activity 3



Activity 3

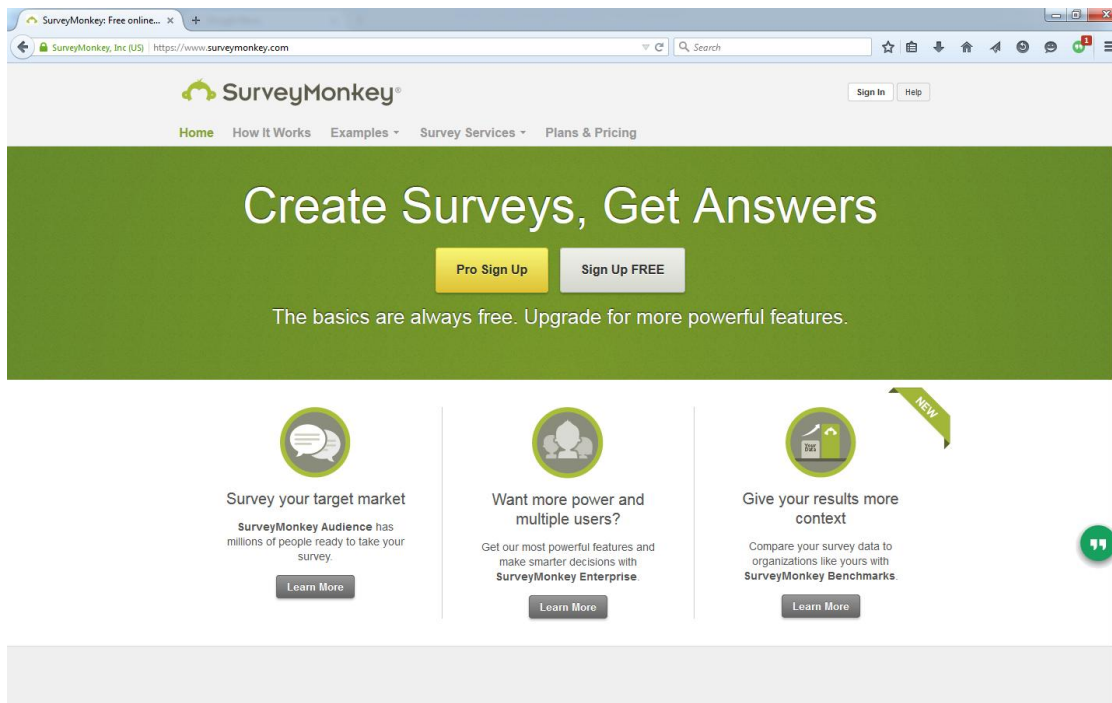
Arrange the following words into two groups:

“opinions, intentions, customer satisfaction (weighted average), attitudes, the most profitable customer age group, beliefs, number of downloads, referral URL”

Quantitative data	Qualitative data
Group size (Sampling)	Group size (Sampling)
A) Large	A) Large
B) Small	B) Small
Suggest data gathering methods to get quantitative data	Suggest data gathering methods to get qualitative data

Surveys

- Surveys are questionnaires that contains a series of questions around a specific topic.
- Their purpose is to gather large volumes of quantitative data easily, though they can also collect some qualitative data.



<https://www.surveymonkey.com/>

Designing Surveys

- Avoid leading questions

Example:

Incorrect: We have recently introduced new features on the website to become a first class web destination. What are your thoughts on the new site?

Replace with: What are your thoughts on the changes to the website?

- Phrasing questions in past tense will give you more accurate answers

Example:

Incorrect: How many times a week do you buy take-away food?

Replace with: In the past month, how many times did you buy take-away food?

Designing Surveys

Open-ended Questions

- To gather qualitative data, use open-ended questions

Example:

What features would you like to see on the website for Time magazine (www.time.com)?

Designing Surveys

Closed Questions

- These questions give respondents specific responses from which to choose. These are typically multiple-choice questions with either one or multiple possible answers. This results in quantitative data.

Example:

Do you use the Time magazine website?

- a) Yes
- b) No

What features of the Time magazine website do you use? Tick all that apply.

- a) Blog
- b) World news
- c) Free downloads
- d) Additional resources

Designing Surveys

Ranked or ordinal

- These questions ask respondents to rank items in order of preference or relevance. Respondents are given a numeric scale to indicate order.
- This results in **quantitative data**.

Example:

Rate the features of the Time magazine website, where 1 is the most useful and 4 is the least useful.

	4	3	2	1
Blog	[]	[]	[]	[]
World news	[]	[]	[]	[]
Free downloads	[]	[]	[]	[]
Additional resources	[]	[]	[]	[]

Designing Surveys

Matrix and rating

- These types of questions can be used to quantify qualitative data.
- Respondents are asked to rank behavior or attitude.

Example:

Rate the features of the Time magazine website according to the following scale:

1 = love it, 2 = like it, 3 = no opinion, 4 = dislike it.

	4	3	2	1
Blog	[]	[]	[]	[]
World news	[]	[]	[]	[]
Free downloads	[]	[]	[]	[]
Additional resources	[]	[]	[]	[]

Activity 4



Activity 4

Café J is a popular coffee shop in town. It has introduced a new product “Yogurt Coffee” last a few months ago, and the management wants to know how customers think about its new product in terms of taste, serving size, and price. They want to conduct the survey to all customers ordering Yogurt Coffee in the store for 3 months, offering FREE cookie to the respondent.

- Suggest some questions for above market survey.

Focus Groups

- Online focus groups involve respondents gathering online and reacting to a particular topic.
- Respondents can be sourced from all over the world and react in real time, arguably being freer with their responses since they can be anonymous in an electronic environment.
- Online focus groups are ideal for having frank, detailed conversations with people who have an interest in your brand – this means they result in primary, qualitative data. This information can then be used to create quantitative research questions.
- Range of technologies available – Text Messaging to Video Conferences

Focus Groups

- Good options for conducting online focus groups include:
 - Google Hangouts: <https://hangouts.google.com/>
 - Skype: www.skype.com/en
 - GoToMeeting: www.gotomeeting.com/



Focus Groups

- Less formal than surveys (researcher may not have full control over conversation)
- Focus groups are used to get consumer views on:
 - New products or marketing campaigns
 - Existing products and campaigns, and how they can be improved
 - Sentiment around the brand
 - Views on a brand's new direction or visual style
 - Ideas for how the brand could improve its position or branding.
- Good for collecting qualitative data quickly
- Should choose enough participants – 8 to 10 is good range

Activity 5



Activity 5

Do you think the Café J in Activity 4 should use focus group instead of survey? What will be the pros and cons of focus group in this situation?

Online Monitoring

- Difficult in offline world, but easy to monitor online
- Keywords – the foundation to categorizing and indexing the web – make it simple to track conversations taking place online
- Online tools allow a company to track mentions of itself, its staff, its products, its industry and its competitors
- You may search for
 - Broad match (apple computers)
 - Direct match (“Apple computers”)
 - Inclusive match (Apple +computers)
 - Exclusive match (Apple –fruit)

Tools for monitoring

- Google Alerts
- Google news
- Google blog search
- Google patent search
- Google video search
- Technorati
- Flickr
- Delicious

Other avenue for online research

- Personal interview
- Observation/Online ethnography
- Online research communities
- Listening labs
- Conversion optimization (A/B testing)

Tools of the trades

- Survey tools
 - SurveyMonkey: www.surveymonkey.com
 - Wufoo: www.wufoo.com
 - Kwik Surveys: kwiksurveys.com
 - Google Forms: accessed through Google Drive drive.google.com
 - Qualaroo Insights (unique real-time offering): qualaroo.com